BUSINESS DATA MANAGEMENT

Lecture10

Introduction to Services

So in the last video, I spoke to you about services and I said that while products tend to be tangible, which means you can touch them, sense them, smell them and feel them, services tend to be intangible. In this video, I will be explaining a bit more about services and as to how evaluation of services is done. Now, if you look at it, human beings, as humans, we involve in exchange, right? And I have given you an example. And whenever we human beings, when we do what we call an exchange, there is value which is kind of created.

And this value created is in a tangible manner, irrespective of it being B2C versus B2B. For instance, let us say that I buy a mobile phone from Amazon, right? They sell the product to me and they receive the currency in return. So value that is created is tangible in nature. But value could also be created in an intangible nature, intangible manner.

And that is where the concept of services comes in. Right. Now, what is a service? Now, services involve providing economic value to the customer. But here it is intangible in nature.

Right. And some of the examples of services could be education, transport, consultancy, hospitality, etc. If you recollect in the earlier video, I indicated that services are of two kinds, right? The first is what we refer to as pure services, which means a business that is only a company that is only providing pure services. For example, education, transport, consultancy, hospitality, medical, all these are pure services.

And then we have something called add-on services. Now, what are these add-on services? Add-on services are something that is provided on the product. For example, when you buy an Apple phone or let's say any mobile phone, you know, when you buy an additional service pack, that is what we refer to as

add-on services where you have a product in place, services are added on top of it. And why are these services important?

The first thing is that companies have realized that they cannot generate profits by selling products alone. And that is where they realize that services are very important for them because they kind of contribute to their profits, right? Now, what are these services? In services, there is no ownership of the physical elements involved.

For instance, let's say that I'm booking a ticket or I book a ticket, let's say from Paris to Delhi, and I'm traveling on that, right? So it is moving me from Paris to Delhi, taking me from one destination to the next. Do I own it? The answer is no. There is no ownership of the physical elements that is involved.

Some other examples for you, you might have heard of a company called Rentomojo, which is into renting of the various furnitures, you know, various rented goods are being provided so that people do not have to own it, especially for those who are in the city who remain only for a certain period of time and, you know, And after, let's say after three months, four months, they migrate to a different place. You know, that is where all these concepts of services do come in. Now, as explained earlier, Why is it that we need to study services?

There are three key reasons. The first thing is that services contribute in the developed economies. When I mean developed economies, it's like US, France, et cetera, European countries. It almost contributes 80% to the GDP, right? Which is gross domestic product.

I hope you understand what the GDP is. The amount of the total value of the goods and services which is produced during a certain time period is what we refer to as GDP. Whereas in India, it is almost 60%. And most of the jobs are kind of, you know, provided by services. The employments generated by this particular sector is very, very high.

And third is that it provides a firm with what we refer to as a competitive advantage. Right. And you might see that I've written something called servitization. Now, there is a lot of focus on a service dominant logic servitization. So what is servitization?

The services are provided to be added to the products. That is what we refer to as servitization. You might have heard of companies like Rolls Royce, which makes cars, but you might also be knowing that, you know, the Rolls Royce, the engines that you see beneath the aircraft wings, are also of Rolls Royce. And they have something called as power by the hour. That is the hours that you use is the hours that you need to pay to them.

Right. So that's how it is. While I explained the difference between products and services to you, here is once again to jog your memories through them to just make you recollect whatever you have learned. Products tend to be tangible in nature, right? Which means I can sense it.

So this is tangible in nature. A watch, tangible. I can sense it, smell it, feel it, and touch it. And what happens? In which case do you think pricing is difficult?

Products, because you're able to see, okay, you're able to feel that. So it becomes easier. But with services, because you're not able to see it. So what happened once was that, you know, in IIT Madras, if you look at it, it is a very, very big campus, right? Where you see a lot of cycles being used inside the campus.

And what happens is that we used to buy these nice hybrid cycles. We used to go for long rides. And after every six months when you need to service it, when I asked the cycle shop, what is the price? He gave me three different pricing: a normal service, which was 500 rupees. And he said there is an advanced service, which is a thousand.

And then he said, you know, I would recommend the other one, which is 2000 rupees. which is premier servicing where we kind of, you know, strip the entire

cycle and kind of grease it. We make sure that all the things, we do some x-rays and things like that. But you know, that kind of creates doubts on the pricing. So I was thinking that whether it is really worth 2000 rupees?

Now, why is this the case? Because I'm not able to see it, right? While I took it just to test it, and it was good as well, but it casts doubts on the pricing, right? Now, what happens with the products? Most of them is that they are first produced, you then sell it and later consume it, right?

But what happens with most of the services? Most of the services, you need to pay first and then take the services. There are also cases where you take service and pay later. But what happens with most of the services? So suppose you have to take a flight ticket, right?

What happens is that you need to first pay and book the ticket and then travel, right? It could also happen in some cases that you take the service first and then pay later, which is also there. But in most of the services, what happens is you kind of pay first and then take the services, right? So this is why we refer to as what we refer to as inseparable. There is simultaneous

Production and consumption. And finally, services cannot be inventoried. They're perishable, right? Unlike products, which can be inventoried. Now, this is the definition of service.

I would, in case you are interested in understanding services in detail, There is a wonderful book on services marketing by Jochen Wirtz and Chris Lovelock, the ninth edition, you can have a look at it, where they kind of give the definition, which is the economic activity, which is performed by one party to the other, okay? Now let's come to, now let's try to understand how services are evaluated. When you have a product, right? I have a pen and this is evaluated, the product is evaluated on the basis of what we call product quality, right?

Now services are evaluated on the basis of service quality and if you are more interested to understand about service quality, so there is a classic literature

which has been developed by professors Valarie Zeithaml, Professor Parasuraman on something called as ServQual. ServQual refers to service quality. And they speak about the five dimensions. That is, when a customer chooses a service, what are the five dimensions of the service quality?

They speak about reliability, responsiveness, assurance, empathy, and tangibles. They say that When these dimensions are good, this is how when these dimensions are used as indicators to what we call as SSV quality of service or service quality. Now, because services are intangible, because services are heterogeneous, because they are inseparable and perishable. There are three things that happens which you see on the right hand side of my presentation.

Right. The perceived risk is high because you cannot see it. The customers are uncomfortable as well. It makes customers uncomfortable. Like, for example, when you join the program, you might be thinking, is it the right choice?

I mean, did we make the right choice, right? It makes you uncomfortable. And it also casts doubt on the quality of the service, whether it is really good and whether it is the right price. Are we paying more? Are we paying less?

You know, that is there. Now, how does this characteristic affect the ease of evaluation, right? So, Most of the goods or products, if you look at them, they tend to be easy to evaluate. Why I want to buy something, they tend to be rich in search qualities.

I just do a quick search and then, you know, I am in a position to make decisions, right? It is tangible, a quick search, you are in a position to make decisions. Would that be the case with services? The answer is yes, but largely, you know, you do not have that comfort as that of a service. That comfort in, you know, a product, you are very comfortable because it is more tangible, but because it is intangible, you know, just based on the basis of search or reviews, you are not very, very comfortable.

So most of the services fall into two quadrants. One, they tend to be rich in experience attributes, which I shall explain. And the second is they are rich in what we call credence attributes, right? Now, what are these experience attributes? For example, now let's say that I want to take a flight.

I wanted to take a flight and I was flying first time internationally. And I wanted to know, you know, when I was looking at who is the best service provider, it kind of gave me that, you know, there was Emirates, there was Etihad, there was Qatar Airways, there's Air India, et cetera. And then you fly it, right? So you experience the service. So what is this experience?

The moment you take the service, You know, during the travel or after the travel, you are in a position to know whether this is good or bad. So that is what you call as experience. Right. So, you know, let's say this particular class, you visit the lecture and you see that, OK, have I learned something from this?

That is what is experience. Right. So if it is good, you are immediately when you take the class, when I start the way I teach or maybe at the end of the class, you are in a position to make a decision that based on your experience that you have had, whether it is good or bad. Now, what happens with the other one is especially there is something called as credence. And most of the services fall in this where even after you have taken a service, you are not in a position to decide whether it is good or bad.

For example, let's say, complex surgeries, dental treatment, treatments, complex medical treatments. Where you're still not sure you've experienced it, but you're still not in a position to say whether it is good or bad. Or let's say legal services, or the example is insurance policies. You're still not in a position to say whether it is a good service or a bad service. So what is an experience?

In services, when we say experience, when you take a service, when you experience it, you are able to say whether it is good or bad. But what happens with credence is that You take a service, but still you are not in a position to say immediately whether it is good or bad. I hope this kind of clarifies the difference

between experience and credence attributes. So when I told you what is this experience attributes, here is the example.

So this is a professor called Jan Benedict Steenkamp, a very famous professor in marketing who is also the editor of Journal of Marketing, which is a premier journal in the marketing discipline. He traveled on a flight of Qatar Airways and he is kind of making a comparison between Qatar Airways and if I'm not wrong, it's I believe it's United, I believe. Yeah. So between two airlines is kind of making a kind of comparison. So you see he has written this and what he does next.

is you know see this is what his experience that this is what his experience was and he shares the same right he says his experience with Qatar Airways and how it was and you know he compares this with what we call as united and you see that is what is this all about and if you recollect I, at the beginning, had told you about segmentation, targeting and positioning. Right. About the food that the college wanted to do. Just to again give you the courtesy.

This is a very nice one. Thanks to Professor Neil Bendel, who has kind of done this beautifully. So what happens is that the college has so many students. A survey is floated. You know, what is the choice of food that you wish to have?

And let's say that they identify three segments or clusters. Out of 10,000 students voted and there were three different choices, clusters that they identified, segments that they identified. Segments are groups of customers having similar needs and wants. Now, once you identify these three segments, what you do in targeting is you identify that segment which has maximum number of votes and the college administration management should actually make a decision based on that. Why?

Because that is the segment that has got the maximum number of votes. So if you don't go with the people's vote, then the patronage is likely to be less. And once you do decide which segment to target, it is also important to kind of position because many of them might perceive that, oh, you know, it's a mess in the college, may not be good. It's important to kind of tell them that, you know, a

good quality food served at a good price, nutritious, etc. So that this is what we refer to as positioning, which is how do you position this product or service in the minds of the consumer?

So I hope the short video kind of helps you understand the difference between services and products clearly and to why services are needed. So services contribute 80% to the economy. Most of the employment is generated in this particular domain. And they also provide companies with what we call as competitive advantage, helping them do better with respect to others. And services are evaluated, assessed on the basis of what we call as experience and credence.

Experience is something that, you know, when you travel or when you attend this class, you're in a position to immediately know whether it is good or bad, whether the class is good, whether the travel experience was good there on this flight. But credence is something where even after you take a service, you really do not know whether it is good or bad. For example, the class, you might think, OK, it's good based on what Ashwin taught now. But is it going to be helpful for your future career? That's where credence aspects come in.

So I hope this kind of clarifies everything. And this is the end of the first week from me. And in the next week, we shall try to understand the different steps of professional selling in detail before we dive deep into the quants and other problems. OK, so thank you. And I look forward to meeting you in the next video.